ACC501 - Business Finance (Quiz # 3)

Question # 9 of 10 (Start time: 12:20:49 PM, 01 July 2025)

Which one of the following is a non-cash item?

Select the correct option

○	Sales
○	Purchases
◉	Depreciation
○	Inventory

ACC501 - Business Finance (Quiz # 3)

Question # 1 of 10 (Start time: 12:18:29 PM, 01 July 2025)

Unsystematic Risk is also known as :

Select the correct option

○	Market Risk
○	Non-diversifiable Risk
●	Diversifiable Risk
○	None of the given options

ACC501 - Business Finance (Quiz # 3)

Question # 5 of 10 (Start time: 12:19:38 PM, 01 July 2025)

Prime advantage of investing in different securities is:

Select the correct option

○	All of the given options
○	Increased liquidity
◉	Reduced risk
○	Easy management of securities

ACC501 - Business Finance (Quiz # 3)

Question # 10 of 10 (Start time: 12:21:03 PM, 01 July 2025)

Which one of the following is "NOT" a component of Cost of Capital?

Select the correct option

○	Cost of preferred stock
○	Cost of equity
◉	Cost of underwriting
○	Cost of debt

ACC501 - Business Finance (Quiz # 3)

Question # 1 of 10 (Start time: 12:22:02 PM, 01 July 2025)

Your gain (or loss) on an investment that you buy is called your :

Select the correct option

○	Risk on investment
◉	Return on investment
○	Loss on investment
○	Gain on investment

ACC501 - Business Finance (Quiz # 3)

Question # 3 of 10 (Start time: 12:19:06 PM, 01 July 2025)

What would be the standard deviation of returns for an investment that has a variance of 0.0075 ?

Select the correct option

○	0.09487
○	0.10521
○	0.09101
◉	0.08660

ACC501 - Business Finance (Quiz # 3)

Question # 7 of 10 (Start time: 12:23:54 PM, 01 July 2025)

Total portfolio risk is equal to :

Select the correct option

○	systematic risk plus market risk
●	systematic risk plus diversifiable risk
○	unsystematic risk plus diversifiable risk
○	systematic risk plus non-diversifiable risk

ACC501 - Business Finance (Quiz # 3)

Question # 7 of 10 (Start time: 12:20:15 PM, 01 July 2025)

In which method of depreciation, we divide the cost of asset with its useful life?

Select the correct option

○	Declining value
○	Sum of the years digit
◉	Straight line
○	MACRS

ACC501 - Business Finance (Quiz # 3)

Question # 5 of 10 (Start time: 12:23:12 PM, 01 July 2025)

What will be the risk premium for a stock that has an expected return rate of 14% and a risk-free rate of 5% ?

Select the correct option

○	24 %
○	15 %
●	9 %
○	6 %

ACC501 - Business Finance (Quiz # 3)

Question # 4 of 10 (Start time: 12:19:24 PM, 01 July 2025)

Which of the following is known as the group of assets such as stocks and bonds held by an investor ?

Select the correct option

◉	Portfolio
○	None of the given options
○	Stock Bundle
○	Capital Structure

ACC501 - Business Finance (Quiz # 3)

Question # 6 of 10 (Start time: 12:19:57 PM, 01 July 2025)

Suppose, you have invested Rs.50 in Stock M out of a total investment of Rs.200. The weight of stock M in your portfolio is:

Select the correct option

◉	0.25
○	0.40
○	o.50
○	0.100

ACC501 - Business Finance (Quiz # 3)

Question # 2 of 10 (Start time: 12:22:18 PM, 01 July 2025)

If you have Rs. 30 in asset A and Rs. 120 in another asset B, the weights for assets A and B will be ____ and ____ respectively.

Select the correct option

○	37%; 63%
○	63%; 37%
◉	20%; 80%
○	80%; 20%

ACC501 - Business Finance (Quiz # 3)

Question # 6 of 10 (Start time: 12:23:28 PM, 01 July 2025)

Preferred stock is a hybrid security because it possesses the features of both _____ and _____.

Select the correct option

○	Preferred stock; Debt
○	Common stock; Treasury bills
○	Treasury bills; Bonds
●	Common stock; Debt

ACC501 - Business Finance (Quiz # 3)

Question # 10 of 10 (Start time: 12:24:49 PM, 01 July 2025)

For an investment project, the cost of capital relevant to the project depends on which of the following?

Select the correct option

○	Coupon rate on the firm's existing long-term bonds
○	Total risk of the firm's equity
○	Type of security to be issued to finance the project
◉	Risk associated with the project

ACC501 - Business Finance (Quiz # 3)

Question # 9 of 10 (Start time: 12:24:33 PM, 01 July 2025)

Suppose market value exceeds book value by Rs. 250,000. What will be the after-tax proceeds if there is a tax rate of 34 percent ?

Select the correct option

○	Rs. 148,500
○	Rs. 225,000
○	Rs. 105,600
◉	Rs. 165,000

ACC501 - Business Finance (Quiz # 3)

Question # 8 of 10 (Start time: 12:24:22 PM, 01 July 2025)

Which of the following is the overall return the firm must earn on its existing assets to maintain the value of the stock?

Select the correct option

○	IRR (Internal Rate of Return)
●	WACC (Weighted Average Cost of Capital)
○	MIRR (Modified Internal Rate of Return)
○	AAR (Average Accounting Return)

ACC501 - Business Finance (Quiz # 3) **Quiz Start Time: 12:22 PM, 01 July 2025**

Question # 3 of 10 (Start time: 12:22:37 PM, 01 July 2025) **Total Marks:** 1

The total market value of a company's stocks is calculated as Rs. 250 million and the total market value of the company's debt are calculated as Rs. 100 million. What percent of the firm's financing is debt ?

Select the correct option

○	70.00%
○	62.50%
○	50.00%
●	28.57%

Click to Save Answer & Move to Next Question

ACC501 - Business Finance (Quiz # 3)

Question # 8 of 10 (Start time: 12:20:35 PM, 01 July 2025)

Which of the following is the overall return the firm must earn on its existing assets to maintain the value of the stock?

Select the correct option

- ○ MIRR (Modified Internal Rate of Return)
- ◉ WACC (Weighted Average Cost of Capital)
- ○ AAR (Average Accounting Return)
- ○ IRR (Internal Rate of Return)

ACC501 - Business Finance (Quiz # 3) **Quiz Start Time: 12:22 PM, 01 July 2025**

Question # 4 of 10 (Start time: 12:22:52 PM, 01 July 2025) **Total Marks:** 1

The total market value of a company's stocks is calculated as Rs. 250 million and the total market value of the company's debt are calculated as Rs. 150 million. What percent of the firm's financing is equity ?

Select the correct option

- ◉ 62.50%
- ○ 85.00%
- ○ 50.00%
- ○ 33.33%

Question # 2 of 10 (Start time: 12:18:46 PM, 01 July 2025) **Total Marks:** 1

The book value of a system is Rs. 35,500 at the end of year 4 of its life. What will be the total after-tax cash flow from sale if we sell this system for Rs. 20,000 at this time? (Tax rate is 35%)

Select the correct option

- ○ Rs. 15,220
- ◉ Rs. 25,425
- ○ Rs. 20,327
- ○ Rs. 15,000

Click to Save Answer & Move to Next Question